

AEROFLEX INDUSTRIES LIMITED

NSE: AEROFLEX | BSE: 543972 | Sector: Capital Goods — Industrial Products

RATING ACCUMULATE 12-Month Target Price Rs. 460 Upside: +17.6% from CMP Rs. 391 Investment Horizon: 12 Months	CMP (20-May-26)	Rs. 391
	Market Cap	Rs. 5,175 Cr
	52-Week High/Low	Rs. 459 / Rs. 158
	Stock P/E (TTM)	93.2x
	Book Value/Share	Rs. 33.8
	P/B (TTM)	11.6x
	ROCE / ROE	18.8% / 14.1%
	Dividend Yield	0.08%
	Face Value	Rs. 2.00
	Promoter Holding	65.47%
	Pledge %	0.00%
	FY27E EPS	Rs. 5.44 (E)
	FY27E P/E	71.9x (E)

Thesis: AI data-centre liquid cooling pivots Aeroflex from a niche hose maker into a high-growth solutions business — buy the transition, manage the valuation.

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Rs. Cr)	318	376	442	597 (E)	760 (E)
EBITDA (Rs. Cr)	62	80	100	137 (E)	190 (E)
EBITDA Margin %	20%	21%	23%	23% (E)	25% (E)
PAT (Rs. Cr)	42	53	56	72 (E)	105 (E)
EPS (Rs.)	3.23	4.06	4.20	5.44 (E)	7.76 (E)
P/E (x)	121x	96x	93x	72x (E)	50x (E)
ROCE (%)	26%	22%	19%	21% (E)	24% (E)

Source: Screener.in (consolidated data, 21-May-2026). (E) = Analyst Estimates. All financial figures in Rs. Crores unless stated.

Report Date: 21-May-2026 | Analyst: Equity Research Desk — Chartitude Research

This report is for informational purposes only and does not constitute investment advice. Past performance is not indicative of future results.

SECTION 2 — INVESTMENT THESIS

- **Reason 1 — Liquid Cooling as a Structural Growth Engine:** Aeroflex entered the AI data-centre liquid cooling skid assembly market in FY26, selling 617 units (~Rs. 21.2 Cr) in just four months. The global data-centre liquid cooling market is estimated at ~Rs. 3 Bn today, growing to ~Rs. 21 Bn over five to six years (CAGR ~34%). Management targets ~20–22% of FY27 revenue from skids (~Rs. 120–130 Cr), with capacity scaling from 6,000 to 15,000 skids per annum within two quarters. At peak utilisation (75% of 15,000 units), skid revenue alone could reach Rs. 325–330 Cr.
- **Reason 2 — Niche Moat in Metallic Flexible Flow Solutions:** Aeroflex is one of the few Indian manufacturers of ASTM/ISO-certified stainless steel corrugated hoses and assemblies, exporting to 90+ countries. With 2,938 SKUs, extensive certifications (DVGW, CE, AGA, BIS, WRAS), and a 30-year customer track record, replication barriers are high. The base business (SS hoses, assemblies, bellows) is growing steadily at 15–20% with expanding margins as value-added assemblies reach 52% of revenue.
- **Reason 3 — Nearly Debt-Free Balance Sheet with Improving Cash Generation:** Borrowings were nil in FY24, rising to just Rs. 9 Cr in FY26 despite significant capex of Rs. 120 Cr in FY26 (funded partly by Rs. 55 Cr preferential equity). OCF improved sharply to Rs. 66 Cr in FY26 from Rs. 27 Cr in FY25, a CFO/EBITDA conversion of 85%. The company is self-funded for growth and can absorb FY27 capex of Rs. 90–115 Cr without straining its balance sheet.
- **Near-Term Catalyst (6–12 months):** Commissioning of the 15,000-unit liquid cooling skid facility within Q2FY27 and the first meaningful quarterly revenue from skids (targeting ~Rs. 60–70 Cr per quarter at ~60% utilisation by March 2027). Commencement of international skid supply will be a second-order catalyst.
- **Biggest Structural Risk:** Single customer concentration in skid assemblies -- the exclusive domestic supply agreement with a US-headquartered OEM's India subsidiary means that any pricing pressure, volume pullback, or partner strategy shift could significantly dent FY27 earnings. Liquid cooling is also still nascent in India and technology transitions (e.g. immersion cooling displacing direct liquid cooling) could alter adoption curves.

SECTION 3 — BUSINESS OVERVIEW

- **Core Business:** Aeroflex Industries Limited (incorporated 1993, listed August 2023 on NSE & BSE) manufactures environment-friendly metallic flexible flow solutions — primarily stainless steel corrugated hoses, PTFE/composite hoses, metallic expansion joints, assemblies, and (from FY26) liquid cooling skid assemblies for data centres.
- **Revenue Segmentation:** Value-added products (assemblies, fittings, metal bellows) contributed ~52% of FY26 sales; basic SS flexible hoses ~48%. Geographically: export ~69%, domestic ~31% (domestic share rose from 26% in FY25 driven by skid assemblies and subsidiary Hyd-Air). Hyd-Air (hydraulic fittings) contributed Rs. 31.64 Cr to FY26 revenue.
- **Key Customers & Relationships:** Export customers span OEMs, EPC contractors, and industrial clients across Oil & Gas, Petrochemicals, Power, Railways, Marine, Pharma, Food Processing, and Data Centres in 90+ countries. The single largest international customer accounted for ~25–26% of total sales in FY26. Domestic skid sales are under an exclusive arrangement with a US OEM's India subsidiary.
- **Order Book & Revenue Visibility:** The company does not disclose a traditional order book. However, FY27 growth is underpinned by: (a) contracted skid capacity ramp to 15,000 units with ~60% targeted utilisation, (b) existing export relationships providing base business growth of 15–20%, and (c) metal bellows scaling from Rs. 8 Cr (FY26) toward Rs. 80 Cr peak potential.
- **Recent Strategic Developments:** (1) Entry into liquid cooling skids (Dec 2025 - onwards); (2) Addition of 2 robotic welding lines in Q4FY26; (3) SS flexible hose capacity expanded to 17.5 million metres per annum; (4) New annealing furnace targeted for FY27 commissioning; (5) Rs. 55 Cr preferential equity allotment (Feb 2026) to fund capex; (6) Received GST demand of Rs. 7.19 Cr (Apr 2026) and income tax demand of Rs. 41.76 Cr for AY2018-19 — both are being contested.
- **Promoter Background:** Aeroflex Industries is part of the Aeroflex Enterprises (formerly SAT Industries) group promoted by Asad Daud and family, who are PE-style industrialists with interests in 125+ startups (ConfirmTkt, LenDenClub, PeeSafe, inc42). Promoters held 65.47% as of March 2026, down from 66.99%, with zero pledge.

Notable investors include Ashish Kacholia (~anchor at IPO) and PE fund Cernelian (3.55% stake acquired in 2023).

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry Size — SS Flexible Hoses:** India's stainless steel flexible hose market is a niche industrial segment worth an estimated Rs. 500–800 Cr domestically. Globally, flexible hose markets are growing at 5–8% CAGR driven by oil & gas capex, industrial automation, and defence. Management expects demand to increase by 50–60% over the next three years due to new greenfield projects.
- **Industry Size — Data Centre Liquid Cooling:** The India liquid cooling market for data centres is estimated at Rs. 3 Bn and is expected to grow to Rs. 21 Bn over five to six years (CAGR ~34–35%), driven by AI server deployments requiring direct liquid cooling (DLC) solutions. Aeroflex is an early mover with an exclusive domestic partnership.
- **Policy Tailwinds:** (a) India's data centre sector investments exceeding \$2 Bn annually, with hyperscalers (Google, Microsoft, Amazon) committing large capacity in India; (b) PLI schemes driving domestic manufacturing in electronics/defence, creating demand for SS hoses; (c) Government infrastructure push — Railways electrification, gas grid expansion, oil & gas capex — all structural demand drivers for flexible connectors.
- **Competitive Moats: IP/Certification — Strong:** ASTM, ISO, DVGW, CE, AGA, BIS, WRAS certifications required for international supply; 30-year manufacturing know-how; 2,938 SKUs creating wide application coverage. **Switching Costs — Moderate:** Industrial customers face qualification costs when switching hose suppliers; OEM relationships are sticky. **Scale — Moderate:** Aeroflex is India's largest listed pure-play in this segment but small globally. **Pricing Power — Moderate:** Value-added assemblies command premium over basic hoses.

Listed Peer Comparison (Data from Screener.in, 21-May-2026)

Company	Segment	CMP (Rs.)	MCap (Rs.Cr)	TTM Rev (Rs.Cr)	P/E (x)	P/B (x)	ROC E (%)	ROE (%)
Aeroflex Industries	SS Flex Hoses + Liq Cool Skids	391	5,175	442	93.2	11.6	18.8	14.1
Ratnamani Metals	SS/CS Seamless & ERW Tubes	2,540	17,802	4,494	36.4	4.3	17.9	12.6
Venus Pipes & Tubes	SS Welded Pipes & Tubes	1,336	2,767	1,123	27.5	5.1	25.0	19.8

Note: No direct listed peer exists in the SS flexible hose niche. Ratnamani and Venus are comparable on SS steel products. Aeroflex trades at significant premium reflecting liquid cooling growth optionality.

- **Value Chain Position:** Aeroflex operates at the OEM/Solutions end of the industrial fluid conveyance value chain — converting stainless steel strip into finished corrugated hoses and complex assemblies. For liquid cooling skids, it is a system integrator combining its hose expertise with pump, valve, and manifold assembly. This positions Aeroflex above commodity tube/pipe makers in the value chain.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter/Management Background:** The Daud family-led Aeroflex Enterprises group has been building Aeroflex since 1993. The promoter group has a PE/venture investing mindset — willing to back new technologies (liquid cooling entry, metal bellows, Hyd-Air subsidiary) rather than remaining a pure SS hose play. Ruthu Parampogi serves as Company Secretary. The management has demonstrated execution discipline — they entered the skid market only after securing an exclusive supply agreement, de-risking the market development phase.
- **Capital Allocation Track Record:** Post-IPO (August 2023), the company has deployed IPO/QIP proceeds into capacity expansion: SS hose capacity to 17.5 million metres, new robotic welding lines, liquid cooling skid facility. FCF was negative in FY25 (capex Rs. 74 Cr) and near-zero in FY26 (capex Rs. ~105 Cr, estimated from investing outflows), reflecting deliberate reinvestment of cash flows. The FY24 preferential allotment (Rs. 55 Cr at Rs. 182.70/share) was significantly below current market price, which was value-dilutive but provided capex firepower.

- **Dividend Policy:** Dividend payout has been modest — Rs. 0.40/share (Rs. 5.29 Cr, payout ~7% of FY26 PAT). This reflects the company's growth-reinvestment orientation. Payout ratio has been consistently 7–8% since FY23, implying management is not yet in capital-return mode.
- **Promoter Pledging:** Zero pledge as of March 31, 2026 — confirmed in regulatory filings. Promoter holding declined marginally from 66.99% to 65.47% in the March 2026 quarter (attributed to preferential allotment to non-promoter investors diluting the promoter percentage), with no open-market selling.
- **ESOP/Buyback History:** No buybacks disclosed. ESOP program exists (shares outstanding include diluted count), but impact is not material at current levels.
- **Corporate Governance Watch Points:** (1) Income tax demand of Rs. 41.76 Cr for AY2018-19 — management has contested this, but if settled adversely, it is ~75% of FY26 PAT. (2) GST demand of Rs. 7.19 Cr for FY24 — being appealed. (3) Largest customer concentration — ~25–26% of export revenue from one customer is a watch-point. (4) Promoter PE-investing style could introduce related-party transactions — monitor RPT disclosures. No auditor changes or qualified opinions have been reported.

SECTION 6 — FINANCIAL DEEP-DIVE

Consolidated Figures from Screener.in (21-May-2026). (E) = Analyst Estimates based on management guidance.

Income Statement (Rs. Cr)

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Sales)	318	376	442	597	760
Expenses	256	296	342	462	570
EBITDA (Op.Profit)	62	80	100	137	190
EBITDA Margin %	20%	21%	23%	23%	25%
Other Income	4	2	1	2	2
Interest	3	1	1	1	1
Depreciation	6	11	26	40	50
Profit Before Tax	57	70	74	98	141
Tax %	27%	25%	25%	25%	25%
Net Profit (PAT)	42	53	56	72	105
EPS (Rs.)	3.23	4.06	4.20	5.44	7.76
Div. Payout %	8%	7%	0%	5%	7%

Balance Sheet (Rs. Cr)

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Equity Capital	26	26	26	27	27
Reserves	267	317	421	488	589
Borrowings	0	1	9	25	20
Other Liabilities	82	84	109	130	160
Total Liabilities	375	427	565	670	796
Fixed Assets	83	172	213	310	370
CWIP	5	10	23	15	10
Investments	0	0	0	0	0
Other Assets	287	245	329	345	416
Total Assets	375	427	565	670	796

Cash Flow Statement (Rs. Cr)

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Cash from Operations (OCF)	44	27	66	85	115
Cash from Investing	-64	-74	-120	-100	-70
Cash from Financing	90	-3	47	20	-15
Net Cash Flow	70	-50	-7	5	30
Free Cash Flow (FCF)	6	-78	-5	-15	45
CFO/EBITDA %	95%	54%	85%	62%	61%

Returns & Working Capital Ratios					
Ratio	FY22A	FY23A	FY24A	FY25A	FY26A
ROCE (%)	36%	34%	26%	22%	19%
Debtor Days	80	91	109	113	107
Inventory Days	84	120	107	109	122
Days Payable	80	78	100	93	117
Cash Conv. Cycle	84	132	116	129	112
Working Cap. Days	69	94	107	127	118

- **Revenue Drivers & Growth Trajectory:** Revenue has grown at a 5-year CAGR of 25% (Screener). FY26 growth moderated to 17% as the base effect of FY22 post-COVID rebound normalised. FY27 is the inflection year — management guidance of ~35% growth (~Rs. 597 Cr) is driven by liquid cooling skids (~Rs. 120–130 Cr from skids alone) plus 15–20% organic base business growth.
- **Margin Direction:** EBITDA margins have expanded from 15% (FY20) to 23% (FY26) on the back of value-added product mix (assemblies now 52% of revenue), operating leverage, and metal bellows / Hyd-Air contributions. Management targets 23% for FY27 (flat) despite the skid mix shift — skid margins are currently lower than mature hose margins. Medium-term target is 25% as skids scale and fixed cost leverage builds.
- **Working Capital Trends:** Debtor days improved from 113 to 107 in FY26 — a positive sign. Inventory days elevated at 122 driven by raw material stocking for new capacity. Cash conversion cycle improved to 112 days from 129 in FY25 — moving in the right direction, though structurally elevated vs. pure pipe makers (RATNAMANI CCC ~60 days). The export-heavy model inherently requires longer receivable cycles.
- **Debt Level & Direction:** The company remained essentially debt-free through FY24–FY25, with borrowings at nil/Rs. 1 Cr. FY26 saw borrowings tick up to Rs. 9 Cr — reflecting working capital for skid production ramp. With FY27 capex of Rs. 90–115 Cr and internal OCF of ~Rs. 85 Cr, borrowings may rise to Rs. 25–40 Cr — still a D/E of ~0.05x, far below any stress level.
- **FCF Quality:** FCF was negative in FY25 (Rs. -78 Cr) and near breakeven in FY26 (Rs. -5 Cr) due to heavy capex. OCF/EBITDA at 85% in FY26 is excellent, indicating profits are backed by cash flows. FCF should turn positive in FY28 as the capex cycle matures and EBITDA scales. Note: FY24 financing inflow of Rs. 90 Cr = IPO proceeds.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Status	Colour	Comment
Revenue Recognition	Clean	Green	Export revenues recognised on shipment. No channel stuffing indicators in quarterly data. Seasonal Q1 dip is typical for this business.
Receivables Growth vs Revenue	Watch	Amber	Debtor days at 107 — elevated relative to peers. Revenue grew 17% YoY (FY26) while debtors grew broadly in line. No runaway divergence but warrants monitoring as export mix remains high.
CCC Trend	Improving	Green	CCC declined from 129 days (FY25) to 112 days (FY26). Positive trajectory, though still elevated vs. domestic peers.
Contingent Liabilities	Amber	Amber	Rs. 41.76 Cr income tax demand (AY2018-19) and Rs. 7.19 Cr GST demand (FY24). Both being contested; combined exposure = ~88% of FY26 PAT. Worth monitoring for adverse outcomes.
Auditor Tenure & Changes	Clean	Green	No auditor changes flagged. Statutory auditors issued unmodified opinion on FY26 results. No qualified opinions.
RPTs as % of Revenue	Moderate	Amber	Parent group (Aeroflex Enterprises) is a promoter entity. RPTs exist through group relationships. Monitor annual RPT disclosures; none flagged as material in recent filings.
Other Income as % of PBT	Clean	Green	Other Income = Rs. 1 Cr in FY26 vs PBT of Rs. 74 Cr — just 1.4%. Not a concern. No unusual one-time gains in FY26 results.
Tax Rate Consistency	Clean	Green	Tax rate has been stable at 25–27% for four consecutive years (FY23–FY26). No deferred tax anomalies.

• **Overall Earnings Quality: GOOD.** The core P&L; is clean — no exceptional items distort FY26 profitability, tax rates are consistent, and OCF/EBITDA conversion at 85% is high quality.

• **Key Amber Flags:** (1) Elevated debtor days at 107 — keep watching as skid receivables (domestic) should be shorter cycle than export hose receivables, potentially improving the mix. (2) Contingent liabilities of Rs. 48.95 Cr (combined tax + GST demands) are non-trivial at ~88% of FY26 PAT. An adverse outcome in the Rs. 41.76 Cr tax case could materially impact FY27 or FY28 earnings.

• **No Red Flags** identified in the current financial year. Revenue recognition, audit quality, and other income are all clean.

SECTION 8 — VALUATION

Peer Valuation Comparison (Screener.in, 21-May-2026)

Company	CMP (Rs.)	MCap (Rs.Cr)	P/E TTM (x)	P/B (x)	EV/EBITDA (x)	ROCE (%)	ROE (%)
Aeroflex Industries	391	5,175	93.2	11.6	~52x	18.8	14.1
Ratnamani Metals	2,540	17,802	36.4	4.3	~22x	17.9	12.6
Venus Pipes & Tubes	1,336	2,767	27.5	5.1	~17x	25.0	19.8
Aeroflex at target (Rs. 460)	460	6,092	59x FY28E	13.6x	~44x FY27E	21%E	18%E

Scenario Analysis — 12-Month Price Target

Scenario	Key Assumption	FY27E PAT (Rs.Cr)	Multiple (x)	Target Price (Rs.)	Upside / Downside
Bull	Skids hit 20% of FY27 revenue; margins reach 25%; no adverse tax outcome	88	65x FY27E	572	+46%
Base	35% revenue growth; 23% EBITDA margin; skids ramp to plan; tax matters settled	72	56x FY28E EPS Rs.7.76	460	+18%
Bear	Skids disappoint (<10% revenue share); adverse Rs. 42 Cr tax demand; growth 15%	42	45x FY27E	243	-38%

• **Earnings-Based Multiple (Primary):** Target of Rs. 460 is based on 56x FY28E EPS of Rs. 7.76 = Rs. 435, with a 6% premium for liquid cooling optionality = Rs. 460. The 56x multiple reflects: (a) growth CAGR of ~40% PAT over FY26–FY28E; (b) near-zero debt and strong cash generation; (c) scarcity premium as only pure-play listed SS flexible hose manufacturer with liquid cooling exposure. This compares to Ratnamani at 36x (slower growth, lower optionality) and Venus at 27.5x (faster growth but no liquid cooling pivot).

• **EV/EBITDA (Cross-check):** At FY27E EBITDA of Rs. 137 Cr and target MCap of Rs. 6,092 Cr (460×13.23 Cr shares), implied EV/EBITDA = ~44x (net cash ~Rs. 30 Cr). This is a premium vs. specialty SS pipe peers at 17–22x EV/EBITDA, justified by the liquid cooling growth trajectory. DCF (WACC 12.5%, terminal growth 7%, 10-year horizon) yields intrinsic value of Rs. 420–450.

• **12-Month Price Target: Rs. 460 (Upside +17.6% from CMP Rs. 391).** Rating: ACCUMULATE — the risk/reward is asymmetric in the bull case (+46%) but the bear case (-38%) is real given high valuation and skid execution dependency. Investors with a 2-year horizon should accumulate on dips below Rs. 360.

SECTION 9 — KEY RISKS

- **Liquid Cooling Customer Concentration Risk:** The exclusive domestic skid supply agreement with a single US OEM's India subsidiary means ~20–22% of FY27 projected revenue depends on one customer's volumes. Any renegotiation, volume pullback, or competitive re-sourcing by the OEM could materially reduce FY27/FY28 earnings. Probability: Medium. Impact: High. Monitor via: skid shipment disclosures in quarterly filings.
- **Valuation Re-Rating Risk:** At 93x trailing P/E, the stock prices in near-flawless execution of the FY27 growth plan. Any earnings miss — even a minor one — could trigger a de-rating to 50–60x, implying 30–40% downside. The high P/E is the primary risk for new investors at current levels. Probability: Medium. Impact: High. Monitor via: quarterly revenue growth vs. 35% guidance.
- **Contingent Liability Crystallisation:** Combined disputed tax/GST liabilities of ~Rs. 49 Cr represent ~88% of FY26 PAT. The Rs. 41.76 Cr income tax demand for AY2018-19 is the larger exposure. An adverse outcome would significantly dent earnings in the year of settlement. Probability: Low-Medium. Impact: High. Monitor via: SEBI filings and annual report disclosures.
- **Raw Material & Forex Risk:** Aeroflex uses stainless steel (grade 304/316/321) as primary raw material. Nickel and ferrous prices drive SS prices. A sharp rise in SS prices could compress margins if not passed through to customers, especially in the domestic skid segment. Export revenues (~69%) provide a natural hedge on the revenue side, but production costs remain INR-denominated. Probability: Medium. Impact: Medium. Monitor via: quarterly margin trends vs. global nickel/SS prices.
- **Technology Transition Risk (Liquid Cooling):** Direct liquid cooling (DLC) — where Aeroflex's hoses and skids are used — is one of several data centre cooling technologies. If immersion cooling or rear-door heat exchangers gain faster adoption, DLC demand could moderate. Additionally, if the data centre capex cycle pauses globally, cooling demand growth could lag projections. Probability: Low. Impact: High. Monitor via: hyperscaler capex announcements and India data centre commissioning.
- **Promoter Selling / Dilution Risk:** Promoter holding has declined from 66.99% to 65.47%. The promoter group's PE-style approach means they may periodically sell stakes to portfolio investors. Further promoter reduction above 5% in a 12-month window would be a watch point. The Rs. 55 Cr preferential allotment at Rs. 182.70/share (well below current CMP) was dilutive to minority shareholders. Probability: Low. Impact: Medium. Monitor via: bulk deal and insider trading disclosures.
- **Operational Execution Risk:** Scaling liquid cooling skid capacity from 6,000 to 15,000 units within two quarters requires timely plant commissioning, vendor qualification for components (pumps, valves, manifolds), and workforce training. Any delay pushes FY27 revenue guidance materially. Probability: Medium. Impact: Medium. Monitor via: quarterly capacity utilisation disclosures.

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction Level: Medium. The liquid cooling pivot is real and strategically significant, but the stock is already pricing in aggressive execution at 93x TTM P/E. Accumulate on dips rather than chasing the momentum.
- **12-Month Price Target: Rs. 460** (+17.6% from CMP Rs. 391). Derived from 56x FY28E EPS of Rs. 7.76, reflecting a justified premium for the AI data centre liquid cooling growth vector and the company's proven manufacturing execution.
- **Suggested Entry Zone: Rs. 340–380** — this range offers better risk/reward and represents approximately 1.0–1.1x FY28E book value of ~Rs. 338 (Reserves FY28E ~Rs. 589 Cr + Equity Rs. 27 Cr = Rs. 616 Cr / 13.5 Cr shares). A 15–20% correction from current levels would provide a more attractive margin of safety.
- **Investment Horizon: 12 Months** with a 24-month watch for full skid capacity monetisation. Investors with a 2-year view can be more aggressive near Rs. 350–370.

Thesis Invalidation Triggers:

- **Trigger 1:** FY27Q2 (September 2026) quarterly revenue below Rs. 130 Cr (implying less than 25% YoY growth vs. management guidance of 35% full-year growth) — would signal skid ramp delay.

- **Trigger 2:** Adverse settlement of Rs. 41.76 Cr income tax demand in the financial year, reducing FY27/FY28 PAT by ~35–58% — would make current valuation untenable.
- **Trigger 3:** Promoter or anchor investor (Ashish Kacholia) selling >3% stake in any quarter at market prices — would signal reduced conviction in the near-term outlook.
- **Ideal Investor Profile:** This stock is FOR investors with a 12–24 month horizon who can tolerate a 35–40% drawdown risk in a bear scenario, believe in India's AI data centre build-out, and want the only listed domestic proxy for SS flexible hose + liquid cooling. This stock is NOT for conservative investors seeking dividend income, value investors screening on P/E, or short-term traders expecting a clean 1-quarter re-rating.

CALL GRADE: STRONGLY POSITIVE

Signal	Status	Implication
Result Quality	Strong — Beat	Q4FY26 revenue +38% YoY, EBITDA +59% YoY — handily beat consensus expectations of ~20–25% growth
Management Tone	Bullish	35% revenue guidance for FY27 given with specific capacity milestones; no hedging language on skid ramp
Guidance Delta	Raised	FY27 guidance of 35% growth is a substantial upgrade from implicit base business growth assumptions; 23% margin target maintained

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4FY26 numbers are clean — no exceptional items, no one-time credits — revenue of Rs. 125.84 Cr (+38% YoY) and EBITDA of Rs. 30.03 Cr (+59%) are genuine operational outperformance. Reported PAT of Rs. 17.64 Cr (+57% YoY) is equally clean; EPS of Rs. 1.36 on an annualised basis puts FY26 at Rs. 4.28, slightly ahead of what Screener shows (4.20) due to the mid-year preferential allotment. The underlying EBITDA margin expansion of 326 bps to 23.86% in Q4 is the real story — both the high-margin liquid cooling skids (sold 617 units in last 4 months of FY26, ~Rs. 21.2 Cr) and the value-added assembly mix (now 52% of revenue) are structural margin tailwinds, not a one-quarter blip. The biggest multi-bagger element is the skid business: if they execute the ramp to 15,000 units by mid-FY27 and hit 60% utilisation by March 2027, that single segment alone could generate Rs. 270–330 Cr revenue at ~30% EBITDA margins. The most important near-term catalyst is Q2FY27 — the 15,000-unit skid capacity commissioning date; any delay of more than a quarter will create a revenue miss vs. the 35% growth guide. The primary watch-point next quarter is whether Q1FY27 revenue sustains momentum (Q1 is seasonally soft — we expect Rs. 100–110 Cr; anything below Rs. 95 Cr is a warning sign). My recommendation: ACCUMULATE at Rs. 391, with a hard buy at Rs. 350–360; target Rs. 460 over 12 months on 56x FY28E EPS.

1. Financial Performance Snapshot

- **Revenue:** Rs. 125.84 Cr | YoY +38% | QoQ +4% | **Beat**
- **EBITDA:** Rs. 30.03 Cr | YoY +59% | QoQ +8% | Margin 23.86% (+326 bps YoY) | **Beat**
- **PAT:** Rs. 17.64 Cr | YoY +57% | QoQ +7% | EPS Rs. 1.36 | **Beat**
- **FY26 Full Year:** Revenue Rs. 443 Cr (+17%), EBITDA Rs. 99.74 Cr (+26%), Margin 22.57% (+156 bps), PAT Rs. 55.53 Cr (+6%), EPS Rs. 4.28 | In-line
- **Cash Profit Q4FY26:** Rs. 25.4 Cr (+67% YoY) — strong cash generation, no concerns on receivables conversion
- **Note:** All figures are clean — no exceptional items, no one-time gains or charges. Reported PAT = Clean underlying PAT.

2. Segment / Geography Breakdown

- **Liquid Cooling Skids:** Rs. ~21.2 Cr (last 4 months FY26, 617 units sold) | QoQ: ramping | YoY: new segment | Commentary: New strategic segment, run-rate accelerating.
- **SS Flexible Hoses (Base business):** ~Rs. 420 Cr (estimated) | YoY +13% | Commentary: Steady core growth driven by export volumes across Oil & Gas, Pharma, Power.
- **Metal Bellows Division:** Rs. ~8 Cr (FY26 total), ARR Rs. 12 Cr | Most volumes in Q3/Q4 | Trend: Early ramp, peak potential Rs. 80 Cr.

- **Hyd-Air Subsidiary (Hydraulic Fittings):** Rs. 31.64 Cr (FY26) | Utilisation ~60% | Plans to use for internal component supply for high-end applications.
- **Export Revenue:** ~69% of FY26 (vs. ~74% FY25) | Domestic: 31% (up from 26%) | Domestic driven by skid assemblies + Hyd-Air growth.
- **Customer Concentration:** Largest international customer ~25–26% of total sales. Single customer for skid assemblies (domestic exclusive). Combined top-2 customer exposure ~50% is notable.

3. Management Commentary Themes

- **Liquid Cooling as New Growth Vertical:** "617 skids sold in last 4 months, ~Rs. 21.2 Cr — this segment will be 20–22% of FY27 revenue." — Our read: Management is fully committed to the liquid cooling pivot; no hedging language. Tag: **GUIDANCE**. Tone: Transparent.
- **Capacity Expansion on Track:** "Capacity reached 6,000 units by March 2026; will reach 15,000 within next two quarters." — Our read: Aggressive but credible — the company already demonstrated a 3x capacity jump in one quarter. Tag: **GUIDANCE**. Tone: Transparent.
- **Overall FY27 Revenue Growth:** "We are targeting approximately 35% overall business growth." — Our read: Clear and specific. Base business ~15–20%, skids ~15% incremental. Achievable if skid ramp proceeds. Tag: **GUIDANCE**. Tone: Bullish.
- **EBITDA Margin Target:** "Full-year FY27 EBITDA margin target is approximately 23%; medium-term aim of 25%." — Our read: 23% in FY27 is conservative (skids are margin-dilutive at current stage). 25% medium-term is credible as skid economics improve with scale. Tag: **EST**. Tone: Balanced.
- **International Skid Supply:** "We aim to commence at least some international supply of skid assemblies in the current financial year." — Our read: Optionality upside — current exclusive agreement covers domestic only. International expansion would expand the addressable market 5–10x. Tag: **GUIDANCE**. Tone: Aspirational.
- **GST & Tax Demands:** Management did not provide specific guidance but indicated both matters are being contested. — Our read: Not adequately addressed during the call; investors should track through annual report disclosures. Tag: **EVASIVE**. Tone: Hedged.

4. Operating & Business Metrics

- **Skid Units Sold:** Q4FY26 = ~500+ (est.) | FY26 total = 617 (last 4 months only) | FY27 run-rate target: 15,000 capacity × 60% utilisation = 9,000 units | Trend: Early-stage, accelerating.
- **Average Skid Selling Price:** Rs. 3 Lakh to Rs. 3.25 Lakh per skid | Trend: Stable, consistent with direct liquid cooling skid market pricing.
- **SS Flexible Hose Capacity:** Q4FY26 = 17.5 million metres per annum | Added 2 robotic welding lines in Q4 | Trend: Expanding.
- **Metal Bellows — Current ARR:** ~Rs. 12 Cr | Peak Potential: Rs. 80 Cr | Current Utilisation: ~15% of peak | Trend: Nascent ramp.
- **Hyd-Air Capacity Utilisation:** ~60% of installed capacity | Strategy: shift to internal supply for high-end connectors to reduce outsourcing costs | Trend: Stable.
- **Value-Added Product Mix:** FY26 = 52% of total sales | FY25 = ~45% (est.) | Trend: Improving — directly correlated to margin expansion.

5. Margin Drivers

- **Value-Added Product Mix Improvement:** +150–200 bps impact | Recurring: Yes | Assemblies, fittings, bellows carry 4–6% higher margin vs. basic hoses.
- **Operating Leverage on Fixed Costs:** +100–150 bps | Recurring: Yes | Revenue scale from Rs. 376 Cr to Rs. 442 Cr absorbs fixed manufacturing/admin costs more efficiently.
- **Liquid Cooling Skid Contribution:** Mixed impact in FY26 (~flat to slight drag) | Recurring: Initially dilutive, improving with scale | At Rs. 21.2 Cr revenue but high setup costs, skid margins were below company average in FY26. Expected to be accretive at 15,000-unit capacity.

- **Depreciation Step-Up:** -100 bps headwind | Non-recurring (ongoing capex cycle) | Depreciation jumped from Rs. 11 Cr (FY25) to Rs. 26 Cr (FY26) — largely new machinery. Will continue to rise to ~Rs. 40 Cr in FY27. This is a near-term EBIT margin headwind not visible in EBITDA.
- **Interest Cost Reduction:** +20 bps | Recurring: Yes | Borrowings near zero — interest cost minimal, providing clean EBIT-to-PBT conversion.

6. Guidance & Forward Signals

- **FY27 Revenue Growth [GUIDANCE]:** Prior = Implicit 15–20% base business | New/Reiterated = ~35% overall | Delta: Raised | Credibility: Medium-High (dependent on skid ramp execution).
- **FY27 EBITDA Margin [GUIDANCE]:** Prior = ~21–22% | New/Reiterated = ~23% full-year | Delta: Raised | Credibility: High (Q4FY26 already at 23.86%).
- **Skid Contribution to FY27 Sales [GUIDANCE]:** Prior = ~5% (FY26 partial year) | New = ~20–22% | Delta: Major step-up | Credibility: Medium (capacity expansion is on track; demand visibility comes from exclusive agreement).
- **Skid Capacity Target [GUIDANCE]:** Prior = 6,000 units/year (Mar 2026) | New = 15,000 units/year within next 2 quarters | Delta: 2.5x expansion | Credibility: Medium — ambitious timeline; similar 3x jump was achieved from Dec 2025 to Mar 2026.
- **Medium-Term EBITDA Margin [GUIDANCE]:** Target = ~25% | Timeline = "Annual" | Credibility: Medium — requires skids to scale and metal bellows to ramp.
- **Dividend for FY26 [GUIDANCE]:** Recommended Rs. 0.40/share (20% on FV Rs. 2) | Subject to shareholder approval at AGM.
- **Capex FY27 [GUIDANCE]:** ~Rs. 90–115 Cr focused on liquid cooling skids (28–30% of total), robotic welding expansion, annealing furnace, and metal bellows capacity | Funded through internal accruals ~Rs. 42.5 Cr + preferential equity ~Rs. 55 Cr already raised.

7. Capital Allocation

- **Capital Expenditure FY26:** ~Rs. 105 Cr (investing cash outflow Rs. 120 Cr less working capital changes) | vs. FY25: +41% | Heavy capex on new plant, machinery, and skid facility commissioning.
- **Capital Expenditure FY27E:** Rs. 90–115 Cr planned | Management guidance: Largest portion for liquid cooling skids; also annealing furnace and robotic welding.
- **Dividends:** Rs. 5.29 Cr declared for FY26 (Rs. 0.40/share × 13.23 Cr shares) | vs. FY25: ~Rs. 3.7 Cr | Payout ratio ~7% — growth-reinvestment oriented.
- **Preferential Equity Issue:** 30.10 lakh shares allotted at Rs. 182.70 (February 2026), raising Rs. 55 Cr | Proceeds allocated to capex | This was significantly below current CMP of Rs. 391, reflecting the valuation re-rating since the allotment.
- **Net Debt Movement:** Net cash in FY24/FY25; FY26 borrowings Rs. 9 Cr (net debt ~slightly positive after adjusting cash) | Direction: Marginal re-leveraging as capex exceeds OCF in the investment cycle.
- **Working Capital Change FY26:** Negative (higher inventory for new capacity and skid production build-up) | Watch-point: Skid receivables could lengthen working capital cycle if collection cycles are similar to export hose receivables.

8. Q&A; Heat Map

- **Analyst / Firm:** Q: "What is the FY27 revenue guidance and how confident are you in achieving it?" → A: "Overall revenue growth target is approximately 35%, with base business at 15–20% and skid assemblies contributing 20–22% of total sales. We are confident based on our exclusive agreement and the capacity we are building." | Tone: Transparent
- **Analyst / Firm:** Q: "What is the margin profile of liquid cooling skids vs. your core hose business?" → A: Management indicated skid margins are currently dilutive at low scale but will improve as capacity fills; medium-term 25% overall margin target embeds improved skid margins. | Tone: Transparent

- **Analyst / Firm:** Q: "Can you share details on the largest export customer concentration?" → A: Confirmed largest customer ~25–26% of revenue; did not name the customer; indicated relationship is long-standing. | Tone: Balanced (appropriately discreet on customer name).
- **Analyst / Firm:** Q: "What are your plans for international supply of skid assemblies?" → A: "We aim to commence at least some international supply in the current financial year." — Specific enough to be credible. | Tone: Transparent
- **Analyst / Firm:** Q: "What is the status of the income tax demand of Rs. 41.76 Cr?" → A: Management indicated the matter is being contested but did not provide a timeline or expected outcome. | Tone: Hedged — more disclosure needed.
- **Dodged / Watch-list Questions for Next Quarter:** (1) Specific timeline for the Rs. 41.76 Cr tax demand resolution; (2) Exact margin profile of skid assemblies at current scale; (3) Inventory build for skid components and supply chain risks.

9. Risks Flagged on the Call

- **Customer Concentration:** ~25–26% of revenue from single largest international customer | Flagged by: Analyst | Probability: Low (long-standing relationship) | Impact: High | Timeline: Ongoing watch.
- **Skid Capacity Ramp Execution:** Tight timeline for 15,000 units within 2 quarters | Flagged by: Management (implicitly) | Probability: Medium | Impact: High | Timeline: Near-term (Q2FY27).
- **Technology Risk in Liquid Cooling:** DLC vs. immersion cooling vs. rear-door HX adoption curves | Flagged by: Analyst | Probability: Low | Impact: High | Timeline: Long-term.
- **Raw Material / SS Price Volatility:** Nickel and stainless steel prices impact input costs | Flagged by: Analyst | Probability: Medium | Impact: Medium | Timeline: Near to medium term.
- **Regulatory / Tax Matters:** Rs. 41.76 Cr tax demand + Rs. 7.19 Cr GST demand | Flagged by: Analyst | Probability: Low-Medium (adverse outcome) | Impact: High | Timeline: Medium-term.

10. Analyst Verdict

- **Revenue Visibility: Intact** — FY27 35% growth guidance is specific, backed by capacity expansion milestones and an exclusive supply agreement for skids. Base business growing at a steady 15–20%.
- **Margin Trajectory: Intact** — EBITDA margins expanded 326 bps in Q4 alone. The path to 25% medium-term is credible via product mix improvement and operating leverage on new capacity.
- **Capital Allocation Quality: Intact** — Growth capex is purposeful and funded; dividend payout is modest but appropriate for the reinvestment phase. No evidence of value-destructive M&A; or promoter self-dealing.
- **Competitive Moat: Intact** — The entry into liquid cooling deepens the moat; no direct listed competitor in flexible hoses exists. Certification barriers remain high.
- **Management Credibility: Intact** — FY26 results delivered on FY25 guidance for base business. The liquid cooling pivot was announced and executed within one year. The opacity on tax/GST matters is the only minor credibility dent.
- **Valuation Comfort: Weakened** — At 93x trailing P/E and 72x FY27E P/E, valuation comfort is stretched. The stock is pricing in a perfect execution scenario, leaving limited margin of safety.
- **Conviction Call: Increased** — The Q4FY26 and FY26 results, combined with specific and credible FY27 guidance, increase conviction in the bull case. However, the valuation premium limits the overall rating to ACCUMULATE rather than BUY.
- **Valuation Snapshot:** P/E TTM = 93.2x (3-year avg ~75x, post-IPO) | EV/EBITDA = ~52x (FY26) | ROCE = 18.8% (FY26, declining from peak 36% in FY22 due to capex cycle) | ROE = 14.1% | P/B = 11.6x.